Everyone hates 'wasteful' government spending – until someone tries to cut it

COMMENT

ROSS
GITTINS



It seems government spending will be an issue we hear a lot of in this year's federal election campaign. But remember this: much of what's said will be influenced by partisanship, ideology, self-interest and populism.

Peter Dutton is making wild claims that need fact-checking. The business press is saying things that aren't a lot better. And the debate will proceed according to an eternal political truth: while voters never mind you bad-mouthing government spending in general, as soon as you get specific, they start fighting back.

"I've always thought the money the government's giving *you* was a great waste, but the money – and the tax breaks – *I'm* getting are vital to the economy."

It's obvious that some part of the $730 billion the federal government spends each year must be wasteful, just as some of the 365,000 people it employs must be in excess. But how much is some – at lot or a little? No one's ever bothered to find out. Much easier to stick to unsubstantiated claims and exploiting voters' prejudices.

Dutton has been laying it on thick. When he made Senator Jacinta Nampijinpa Price shadow minister for "government efficiency", he claimed the Albanese government "has spent money like drunken sailors".

So what spending would he cut? He'll tell us later. We do know, however, that Albanese & Co have increased the number of federal public servants (not the same thing as total federal employees) by 36,000.

This addition of "Canberra public servants", Dutton has said, was "wasteful" and meant the public service was now "bloated and inefficient". It's an example of "wasteful spending that is out of control". "We're not having 36,000 additional public servants in Canberra".

So is he going to sack them all? He'd be happy for you to think so, but he hasn't actually promised he would. What he has said is he'd get rid of diversity and inclusion positions, along with "change managers" and "internal communication specialists".

Whether that would be a good or bad thing, the saving would be chicken feed.

Dutton has tried hard to give the impression all the extra workers are in Canberra. Not true. The proportion of all federal public servants in Canberra has actually fallen to 37 per cent. Most of the extra people are working in frontline services around the states, helping people using the national disability scheme, visiting Centrelink and so forth.

Andrew Podger, a former top Canberra bureaucrat, notes that, at less than 0.7 per cent, the federal public service is now smaller than it was in 2008 as a proportion of the population, with its share of the total Australian workforce having fallen to less than 1.4 per cent.

Dr Michael Keating, a former topmost bureaucrat, says there's plenty of evidence that the previous Coalition government was underfunding many services. Hospital waiting lists blew out, public schools didn't get the resources needed to do their job adequately according to the Gonski standards, waiting times for welfare payments and for veterans' compensation were far too long, and delays in processing visa applications led to more unauthorised immigrants.



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Ending or reducing these policy-caused delays explains most of Albanese's increased government spending. Sound like waste to you?

Keating notes that, according to the latest official estimates, federal government spending this financial year will be almost the same as it was in the Morrison government's last year, when measured as a proportion of gross domestic product. Sound profligate to you?

He further notes that, when you take total spending by all levels of government as proportion of GDP, Australia is actually the lowest among the 38 members of the Organisation for Economic Co-operation and Development, save for Ireland, South Korea and Switzerland. And get this: as a proportion of national income (GDP), our spending by all levels of government is more than 4 percentage points lower than the average for all OECD countries. Remind you of a drunken sailor, does it?

According to the opposition's shadow minister for the public service Jane Hume, "you don't grow the economy by growing the size of government. Every public-sector job has to be paid for by a private-sector worker".

I hope Hume is smart enough to know she's talking nonsense and is just trying to mislead those people silly enough to believe her. This is a defence of private-good/public-bad ideology that makes no sense. Apart from her inference that people who work for the government don't have to pay taxes, it's as silly as saying Woolies and Coles don't add to the economy because every cent they earn comes from their customers' pockets.

If we left health, education, law and order and all the rest completely to the private sector, do you reckon we'd have an economy that was bigger or smaller than we have today?

Back to Dutton. He says "a major cause of homegrown inflation is rapid and unrestrained government spending". If it's the huge spending by federal and state governments during the pandemic he's referring to, that's no more than the economists' conventional wisdom.

But I guess he's referring to the more recent spending by Albanese & Co. And get this: ignore the wild exaggeration and the business press has been saying much the same thing for months.

Although the argument has been disavowed by Reserve Bank governor Michele Bullock, the business press has been arguing that the government's spending, especially that intended to ease cost-of-living pressure by subsidising electricity prices and increasing rent assistance for pensioners, is causing consumer demand to be stronger than otherwise and keeping the jobs market stronger than otherwise, so has allowed businesses to keep increasing their prices.

Fundamentally, the business press is right. The way to get inflation down faster would have been to hit the economy harder, with higher interests and zero discretionary spending by the government. Instead, the Reserve and the government took the compromise position by aiming for a soft landing and a consequent slower return to low inflation.

I get why the press hasn't wanted to spell out more clearly its preference for the tougher choice. What I don't get is why it thinks its business customers would have preferred a full-blown recession.

Ross Gittins is the economics editor.